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OPINION

Why the uni fee hike makes no sense

Education Minister Dan Tehan recently proposed to change how the government subsidises university degrees. Under his plans, students will be incentivised to study degrees in targeted areas of job growth such as STEM and agriculture through fee reductions. This is to come at no additional cost to the taxpayer.

Does this sound too good to be true? That just might be because it is.

Forty per cent of students will face fee rises, with arts and communications students copping it the worst as they face more than double the current cost.



University fees are set to change, with arts and communication degrees hiked hardest. [WATODAY](#)

Moreover, the economic rationale for this radical “realignment” on is fundamentally flawed. The aggregate outcome is a transfer of cost from the government to students.

I understand that the budget is under pressure due to our prevailing pandemic, but what value is it to our macroeconomy if the cost saved is placed directly onto one of the already poorest

demographics: students?

There are rising concerns that the price signals Tehan is relying on to redirect students are economically numbing by HECS, meaning that students are less influenced by price in choosing their degree because the cost is not imminent.

I would instead petition the government to consider implementing policy that increases wage growth in key fields such as teaching and nursing to attract school-leavers as this is a clear price signal that *does* work.

In fact, due to the poorly proposed implementation of this change, universities would likely end up enrolling more arts and fewer STEM undergraduates. This is because the universities will be paid more for arts students and less for STEM students. Such conflicting motives not only expose an impaired policy, but will likely lead to higher enrolments in expensive degrees, sedating the economy in the long term as these students are forced to direct their income towards paying off HECS instead of stimulating the macroeconomy.

And what of the impacts on the gender wealth gap given more women study humanities and more men STEM? And, further, the impact on the housing market if all of Gen Z cannot save a deposit because their HECS is humungous?

While I somewhat agree with the incentivisation of some key areas of study, the discretionary disincentivising of the humanities is fundamentally and economically appalling.

Of the 18 cabinet ministers who studied at university, 16 studied one of the newly price-hiked degrees (Arts, Law or Commerce), for a fraction of the price now proposed. Talk about closing the door behind you! I guess this is just what happens when a government is composed exclusively of fifty-somethings and baby boomers.

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Whether or not this is a distinct move towards a labour-focussed capitalist society such as those depicted in Orwell or Huxley, only time (and voters) will tell. Nevertheless, it is truly upsetting that universities are being treated as private businesses subject to standard microeconomic market manipulation instead of higher-level places of learning.

So Mr Tehan (and crossbench senators), if you're listening; I understand that the tertiary education system is in financial shambles; I understand that the treasurer doesn't want to give you any money; I understand that you want to improve university funding. But this plan ... it's not it.

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